



Blue Insurance Limited

Disclosure Statement at 31 December 2025

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This disclosure statement is prepared in accordance with the requirements under the Insurance (Valuation and Capital) Rules and the Insurance (Public Disclosure) Rules

1 Company profile

- (a) Authorized insurer's name

Blue Insurance Limited

- (b) Nature of the business, and places of business operations

Blue Insurance Limited is an authorised insurer in Hong Kong, carrying on long-term insurance business. The Company's principal lines of business include protection and savings products. Its principal place of business is Hong Kong. There were no material changes to the Company's business profile during the financial year.
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- (c) Description of corporate structure

The Company is a joint venture between Hillhouse Investment and Tencent, incorporated in Hong Kong. Details of the shareholders are as below:
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| <ul style="list-style-type: none">•Hillhouse Investment is a global alternative investment manager dedicated to partnering with high quality businesses for the long term. The firm manages capital for global institutions, including non-profit foundations, endowments, and pensions.•Tencent is a leading Internet value added services provider in China with extensive digital capabilities and large social platforms, WeChat and QQ. |
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The Company does not have any subsidiaries and there were no material changes to the corporate structure during the financial year.
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2 Corporate governance framework

The Board has overall responsibility for the governance of the Company, including setting its strategic direction, overseeing the effectiveness of the governance, risk management and internal control frameworks, and safeguarding the interests of policyholders and other stakeholders. The Board retains ultimate accountability for the Enterprise Risk Management (“ERM”) Framework, including approval of the risk appetite statement, key risk management policies, and any material deviations from the approved risk appetite.

To support the discharge of its responsibilities, the Board has established the Risk Committee (“RC”) and Audit Committee (“AC”), each operating under clearly defined Terms of Reference approved by the Board.

The RC assists the Board in overseeing the Company’s risk profile, regulatory compliance and ERM framework. It reviews significant risk exposures, emerging risks, key risk management policies and risk assessments, and provides independent challenge and recommendations to the Board on matters requiring Board approval.

The AC assists the Board in overseeing the integrity of financial reporting, the adequacy and effectiveness of internal controls, and the independent assurance provided by the internal and external audit functions. The AC’s oversight complements the RC’s responsibilities and supports a comprehensive assessment of both financial and non-financial risks within the Three Lines Model.

Together, the Board and its Committees provide effective oversight, independent challenge and clear accountability for the Company’s governance, risk and compliance management, capital adequacy and control environment.

The Chief Executive Officer (“CEO”) and Executive Leadership Team are responsible for the day-to-day management of the Company and the implementation of strategies, policies and controls approved by the Board. This includes ensuring that business activities are conducted prudently, within the approved risk appetite, and in compliance with applicable legal and regulatory requirements.

The governance framework is supported by key control functions, including Financial Control, Intermediary Management, Risk Management, Compliance, Actuarial and Internal Audit. These functions provide oversight, independent challenge and assurance on the effectiveness of the Company’s governance, risk management and internal control systems.

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3 Financial position

(a) Balance sheet determined under the Insurance (Valuation and Capital) Rules

(Unit: in HKD thousands)	As at 31 December 2025			
	Total	Long term business	Of which belongs to : long term business-participating business	Shareholders' fund
Total assets	5,708,767	5,714,436	2,108,446	215,159
Cash and deposits	181,337	160,059	44,032	21,279
Debt securities	3,029,246	3,029,246	1,755,568	-
Equities (including portfolio investment)	557,609	551,527	307,597	6,082
Derivative financial Instruments	882	882	675	-
Properties	-	-	-	-
Loans and advances	15,640	15,640	-	-
Reverse repurchase agreement	-	-	-	-
Other financial assets	16,918	16,918	175	0
respect of unit linked products or retirement scheme	1,828,038	1,828,038	-	-
Reinsurance assets	49,782	49,782	331	-
Tax assets	-	-	-	-
Other assets	29,314	62,343	68	187,798
Total Liabilities	4,856,377	5,049,757	1,938,685	27,448
Insurance Liabilities	4,765,153	4,765,153	1,930,263	-
Reinsurance Liabilities	17,769	17,769	1,543	-
Repurchase agreement	-	-	-	-
Derivative financial Instruments	877	877	699	-
Other Financial Liabilities	39,977	39,977	3,845	-
Tax liabilities	-	-	-	-
Other liabilities	32,601	225,980	2,333	27,448
Net assets	852,390	664,679	169,762	187,711

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(b) Material Change or other commentary on balance sheet items if any

N/A

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4 Investments

(a) Assumptions and methods used for valuation of investments

Blue's investment assets comprise highly liquid and marketable instruments, including listed bonds, listed equities, and money market assets. These investment assets are valued using a mark-to-market approach. Valuations are provided by an independent custodian and are based on credible valuation and pricing sources, such as Bloomberg.

(b) Material Change in assumptions and methods, or other commentary on investments

Nil

5 Insurance liabilities

(a) Total insurance liabilities determined under the Insurance (Valuation and Capital) Rules

Insurance Liabilities of Long Term Business

(Unit: in HKD thousands)	As at 31 December 2025			
	HK insurers or designated insurers : all long term business			Total long term business
	Participating business	Linked long term (Class C)	Other long term business	
Total insurance liabilities (gross of reinsurance)	1,930,263	1,860,117	974,773	4,765,153
Of which : Long term insurance liabilities	1,930,263	1,860,117	974,773	4,765,153
Outstanding claims	7,078	10,418	26,088	43,584
Current estimate ¹	1,911,184	1,845,453	871,919	4,628,556
Margin over current estimate	12,001	4,247	13,306	29,554
Prepaid premiums	-	-	63,460	63,460
Other long term insurance liabilities	-	-	-	-
Of which : general insurance liabilities	-	-	-	-
Reinsurance assets	331	49,332	119	49,782
Reinsurance liabilities	1,543	40	16,185	17,769

¹ Excludes outstanding claims, prepaid premiums and other long term insurance liabilities which are disclosed separately.

5 Insurance liabilities

- (b) Assumptions and method used to derive the assumptions for determining insurance liabilities

The best estimate assumption under the Insurance (Valuation and Capital) Rules following the requirements of HKRBC under Hong Kong Insurance Ordinance is used for determining insurance liabilities.

Non-economic assumptions, including but not limited to the mortality, morbidity, persistency and expenses, are based the experience study on the past results, current conditions and expectation of future conditions.

Economic assumptions are based on interest rate prescribed by the Hong Kong Insurance Authority, with adjustment subject to the characteristics of the assets and liabilities of the portfolio, where applicable.

- (c) Material change in assumptions and methods used to derive the assumptions, or other commentary on insurance liabilities (if any)

There is no material change in assumptions and methods used to derive the assumptions.

6 Financial performance

(a) Financial performance in total and at a segmented level, including premiums, investment return and claims

Performance Analysis on Premiums and Claims

(Unit : in HKD thousands)	For the financial year end 31st December 2025				
	Total	Long term business	Of which belong to : long term business - participating business	General business	Shareholders' fund
Gross Premiums ²	390,005	390,005	297,801	-	-
Regular premium	363,940	363,940	297,801	-	-
Single Premium	26,065	26,065	-	-	-
Net premium	385,775	385,775	297,614	-	-
Regular premium	359,710	359,710	297,614	-	-
Single Premium	26,065	26,065	-	-	-
Gross claims Paid	734,817	734,817	153,836	-	-
Net claims paid	726,186	726,186	151,431	-	-

² For long term business, it refers to premiums received and receivable during the financial year. For general business, it refers to written premiums.

Performance Analysis on Investment Return

(Unit : in HKD thousands)	For the financial year end 31st December 2025				
	Total	Long term business	Of which belong to : long term business - participating business	General business	Shareholders' fund
Investment returns	595,329	595,201	138,788	-	128

(b) Material change or other commentary on financial performance (if any)

N/A

7 Capital adequacy

- (a) Prescribed capital amount at total level and risk capital amount (“RCA”) by sub-risk, determined in accordance with the Insurance (Valuation and Capital) Rules (without applying the transitional arrangement under Part 7 of the Insurance (Valuation and Capital) Rules)

Prescribed Capital Amount	
(Unit: in HKD thousands)	As at 31 December 2025
Market risk (diversified RCA)	374,940
Interest rate risk RCA	114,244
Credit spread risk RCA	154,755
Equity risk RCA	213,253
Property risk RCA	-
Currency risk RCA	31,539
Diversification benefits within market risk	(138,851)
Life Insurance Risk (diversified RCA)	114,416
Mortality risk RCA	8,569
Longevity risk RCA	19
Life catastrophe risk RCA	4,730
Morbidity risk RCA	4,361
Expense risk RCA	54,689
Lapse risk RCA	72,203
Diversification benefits within life insurance risk	(30,155)
General Insurance Risk (diversified RCA)	-
Reserve and premium risk RCA	-
Natural catastrophe risk RCA	-
Man-made non-systemic catastrophe risk RCA	-
Man-made systemic catastrophe risk RCA	-
Mortgage insurance risk RCA	-
Diversification benefits within general insurance risk	-
Counterparty default and other risk RCA	7,214
Diversification benefits among risk modules	(75,931)
Operational risk RCA	20,585
Adjustment for loss absorbing capacity cap	-
Adjustment for tax effect	-
Any other items which the IA may specify to adjust	-
Prescribed capital amount	441,225

(b) Composition of capital base determined in accordance with the Insurance (Valuation and Capital) Rules

Capital Base	
(Unit: in HKD thousands)	As at 31 December 2025
Unlimited Tier 1 capital	852,390
Limited Tier 1 capital	-
Tier 2 capital	-
Capital base	852,390

(c) Ratio of capital base to prescribed capital amount

	As at 31 December 2025
Ratio of capital base to prescribed capital amount	193%

(d) Material change or other commentary on prescribed capital amount, capital base, and ratio of capital base to prescribed capital amount (if any)

The increase in prescribed capital amount is mainly from the market risk (the major mix of prescribed capital amount) as a result of favourable equity performance and new business.

The increase in capital base is mainly due to favourable equity performance, partly offset by operating expenses.

The ratio of capital base to prescribed capital amount is reduced slightly as a result of the increase in prescribed capital amount, partly offset by the increase in capital base.

8 Risk Management

(a) Risk appetite and risk governance Framework

The Company has established an Enterprise Risk Management (“ERM”) Framework to support the effective identification, assessment, management, monitoring and reporting of risks that may affect the achievement of its strategic and business objectives. The ERM Framework is designed to ensure that risk-taking activities remain aligned with the Company’s capital position, liquidity profile and long-term business strategy. The ERM Framework is supported by a Risk Appetite Statement (“RAS”), which defines the types and levels of risk that the Company is willing to accept in pursuing its objectives and provides a basis for risk-based decision-making across the organisation

The RAS comprises risk appetite statements, risk preferences, risk limits and key risk indicators covering the Company’s material risks, including insurance, market, liquidity, operational, strategic, conduct and regulatory risks. The RAS incorporates both qualitative and quantitative measures and is established at both aggregate and risk-type levels. Risk exposures are monitored regularly against approved limits and reported to management, the Risk Committee, the Audit Committee and the Board to ensure that risks remain within approved tolerance levels. During the financial year, the Company further enhanced the qualitative articulation of its RAS to strengthen its alignment with strategic objectives, risk culture and regulatory expectations.

The Company maintains an Asset-Liability Management (“ALM”) framework to ensure that asset and liability profiles remain appropriately matched and that policyholder obligations can be met as they fall due. Investment and capital management decisions take into consideration liability cash flow characteristics, duration, liquidity requirements and solvency objectives. The Company regularly assesses the potential impact of adverse market and insurance conditions through stress and scenario testing, including reverse stress testing, to support capital planning and ensure the continued adequacy of solvency and liquidity positions under both normal and stressed conditions.

At the management level, oversight of risk is supported by specialised committees that focus on different aspects of the Company’s risk profile. The Asset Liability Committee (“ALCO”) oversees financial and insurance risks, including investment, market, credit, liquidity, and asset liability management risks. The Operational Risk and Reputation Committee (“ORRC”) is responsible for monitoring and managing operational and reputational risks, ensuring that appropriate controls, mitigation actions, and governance practices are in place.

Blue adopts the Three Lines Model, which reflects modern risk management principles emphasizing collaboration, alignment, and value creation while preserving clear accountability and effective oversight. Under this model, roles and responsibilities for risk management activities are clearly defined, with risk ownership embedded at all levels of the organisation.

No material changes were made to the Company’s risk governance framework during the financial year, other than enhancements to the RAS to further strengthen the articulation of qualitative risk expectations and alignment with regulatory expectations.

(b) Insurance risk management

Insurance risk arises from the inherent uncertainty associated with the underwriting and servicing of insurance contracts. The Company's primary insurance risks include mortality, morbidity, lapse, expense and catastrophe risks, as well as risks arising from product design, pricing, underwriting and claims management. These risks are assessed and monitored through the ERM Framework and are considered in both business planning and capital management activities. The Company regularly evaluates its exposure to insurance risks at both the aggregate level and by product line to ensure that its risk profile remains within the approved risk appetite.

The Company actively monitors concentrations of insurance risk that may arise from individual products, policyholder characteristics, distribution channels or common exposure drivers. Given that the Company's business is primarily conducted in Hong Kong, concentration risks are assessed through regular risk monitoring, stress testing and management reporting processes. At the reporting date, the Company did not identify any material concentration of insurance risk that could reasonably threaten its solvency position beyond the risks already reflected in its capital requirements and risk management framework.

A range of risk mitigation techniques is employed to manage insurance risks. These include prudent product design, underwriting standards, policy terms and conditions, claims management procedures and ongoing experience monitoring. In addition, the Company maintains reinsurance arrangements with suitably rated reinsurers to reduce exposure to large individual claims and adverse insurance events. The effectiveness of reinsurance programmes is reviewed regularly to ensure that they remain aligned with the Company's risk profile and risk appetite.

The Board retains ultimate responsibility for the oversight of insurance risk management. The Risk Committee provides oversight and challenge on insurance risk matters, including risk exposures, risk appetite, capital adequacy and ORSA assessments. At the management level, insurance risks are monitored through established governance forums, including the ALCO and other relevant management committees, with support from the actuarial, risk management, finance and business functions. This governance structure supports effective oversight, timely escalation of material issues and alignment between risk management and business objectives

No material changes were made to the Company's insurance risk management framework during the financial year.

(c) Investment risk management

The Company's investment management objective is to preserve policyholder value, support the achievement of its business and financial objectives, and ensure that assets are managed prudently to meet policyholder obligations as they fall due. Investment activities are undertaken in accordance with the Company's approved investment strategy, risk appetite and regulatory requirements, while maintaining an appropriate balance between risk, return, liquidity and capital efficiency. Asset allocation decisions are aligned with the Company's liability profile and long-term capital management objectives.

Investment risk arises from adverse movements in financial markets and includes market risk, credit risk, liquidity risk, concentration risk and asset-liability mismatch risk. These risks are assessed and monitored as part of the Company's ERM Framework and Investment Policy; and are reflected in the capital requirements under the Risk-Based Capital regime. The Company regularly evaluates its investment risk exposures through risk monitoring, stress and scenario testing, and capital assessments to ensure that investment risks remain within the approved risk appetite. Consistent with its RAS, the Company seeks to maintain a prudent risk profile and has established investment limits and risk tolerances to manage exposures to key investment risks.

The Company monitors concentrations of investment risk across asset classes, counterparties, issuers, credit ratings, sectors and geographies. Concentration risks are managed through diversification requirements and exposure limits approved by the Board. The effectiveness of these controls is regularly reviewed through management reporting and governance oversight processes. As at the reporting date, no material investment concentration was identified that would be expected to threaten the Company's solvency or liquidity position beyond the risks already reflected in its capital requirements and risk management framework.

The Company's primary risk mitigation strategy for investment risk is the application of prudent investment and asset-liability management practices. This includes diversification of investments, investment eligibility criteria, exposure limits, credit assessments, liquidity management measures and ongoing monitoring of market developments. The Company also conducts regular stress and scenario testing, including adverse market and credit events, to assess the resilience of its investment portfolio and overall capital position under stressed conditions. These assessments support investment decision-making, capital planning and risk management activities.

The Company continually evaluates investment opportunities that are consistent with its investment strategy, risk appetite, risk limits and liability profile. Any new investment products or asset classes are subject to appropriate due diligence, risk assessment and governance approval processes before investment decisions are made. Potential risks, including market, liquidity, credit, operational and valuation risks, are assessed to ensure that any new investments remain consistent with the Company's risk management objectives and policyholder obligations.

The Board retains ultimate responsibility for the oversight of investment risk and approves the Company's investment strategy, investment policies and risk appetite. The ALCO assists the Risk Committee by overseeing investment activities, monitoring investment performance and risk exposures, and reviewing compliance with approved investment limits and policies. The ALCO provides oversight of asset-liability management, liquidity and capital considerations, ensuring that investment decisions remain aligned with liability characteristics and solvency objectives. The Risk Committee provides independent oversight and challenge of material investment risks as part of the broader risk governance framework. Together, these governance arrangements support prudent investment management and effective oversight of investment risks

No material changes were made to the Company's investment risk management framework during the financial year.

(d) Other risk management (if any)

In addition to insurance and investment risks, the Company is exposed to a range of operational, strategic, regulatory, conduct, cyber security and reputational risks arising from its business activities, operating environment and interactions with customers, intermediaries, service providers and other stakeholders. These risks are managed through the Company's ERM Framework and are subject to regular assessment, monitoring and reporting.

Operational risk is managed through a framework of policies, procedures, internal controls and governance processes designed to support the reliable and resilient operation of the Company's business activities. Risk assessments are performed regularly to identify emerging risks and control weaknesses, with remediation actions implemented where appropriate. Key operational risk areas include information technology, cyber security, data management, outsourcing, business continuity, financial crime prevention, operational resilience and third-party service provider management.

The Company recognises that cyber security and data protection remain significant operational risks within an increasingly digital operating environment. To manage these risks, the Company maintains information security controls, monitoring processes, incident management procedures and business continuity arrangements aimed at protecting customer information, maintaining operational resilience and minimising the impact of potential cyber incidents. Cyber risks are regularly assessed through the Company's risk management processes and are subject to management and Board oversight.

Regulatory compliance and conduct risk are managed through established governance arrangements, policies and monitoring processes designed to promote compliance with applicable legal and regulatory requirements and support fair customer outcomes. The Company maintains compliance oversight processes to identify, assess and manage regulatory developments and compliance obligations. Conduct considerations are embedded within key business activities, including product governance, distribution, customer servicing and complaints management

Strategic and reputational risks are considered as part of the Company's business planning, decision-making and risk assessment processes. Management monitors internal and external developments that may affect the Company's strategic objectives, reputation or stakeholder confidence and, where appropriate, implements mitigating actions to address identified risks. These risks are also considered through the Company's stress and scenario testing activities.

The Board retains ultimate responsibility for overseeing these risks. Management oversight is provided through the ORRC, supported by the Risk Management, Compliance, Finance, Actuarial, Intermediary Management, Operations, Digital and Marketing, Information Technology, Internal Audit and other relevant functions. Material risk exposures, emerging risks and risk events are regularly reported to management committees, the Risk Committee and the Board to support effective oversight and timely risk mitigation.

No material changes were made to the Company's management of operational, strategic, regulatory, cyber security or reputational risks during the financial year.

9 Statement of Compliance

- (i) I am satisfied with the completeness, accuracy and consistency of the information disclosed in this disclosure statement in respect of Blue Insurance Limited;
- (ii) I am satisfied that the information in this disclosure statement is prepared in accordance with the Insurance (Public Disclosure) Rules and the Insurance (Valuation and Capital) Rules (subject to any variation or relaxation applied thereto);
- (iii) I am satisfied that the information in this disclosure statement can be reconciled with the relevant specified annual forms on each of which an auditor's report is provided of Blue Insurance Limited's annual returns for the financial year to which this disclosure statement relates, as submitted under rule 4(1) of the Insurance (Submission of Statements, Reports and Information) Rules; and
- (iv) I am satisfied that Blue Insurance Limited has complied with the capital requirements that apply to it under the Insurance (Valuation and Capital) Rules (as relaxed or varied, if applicable), during the financial year to which this disclosure statement relates.

Name:	Kuang Kim Soon
Position:	Chief Executive Officer
Company Name:	Blue Insurance Limited